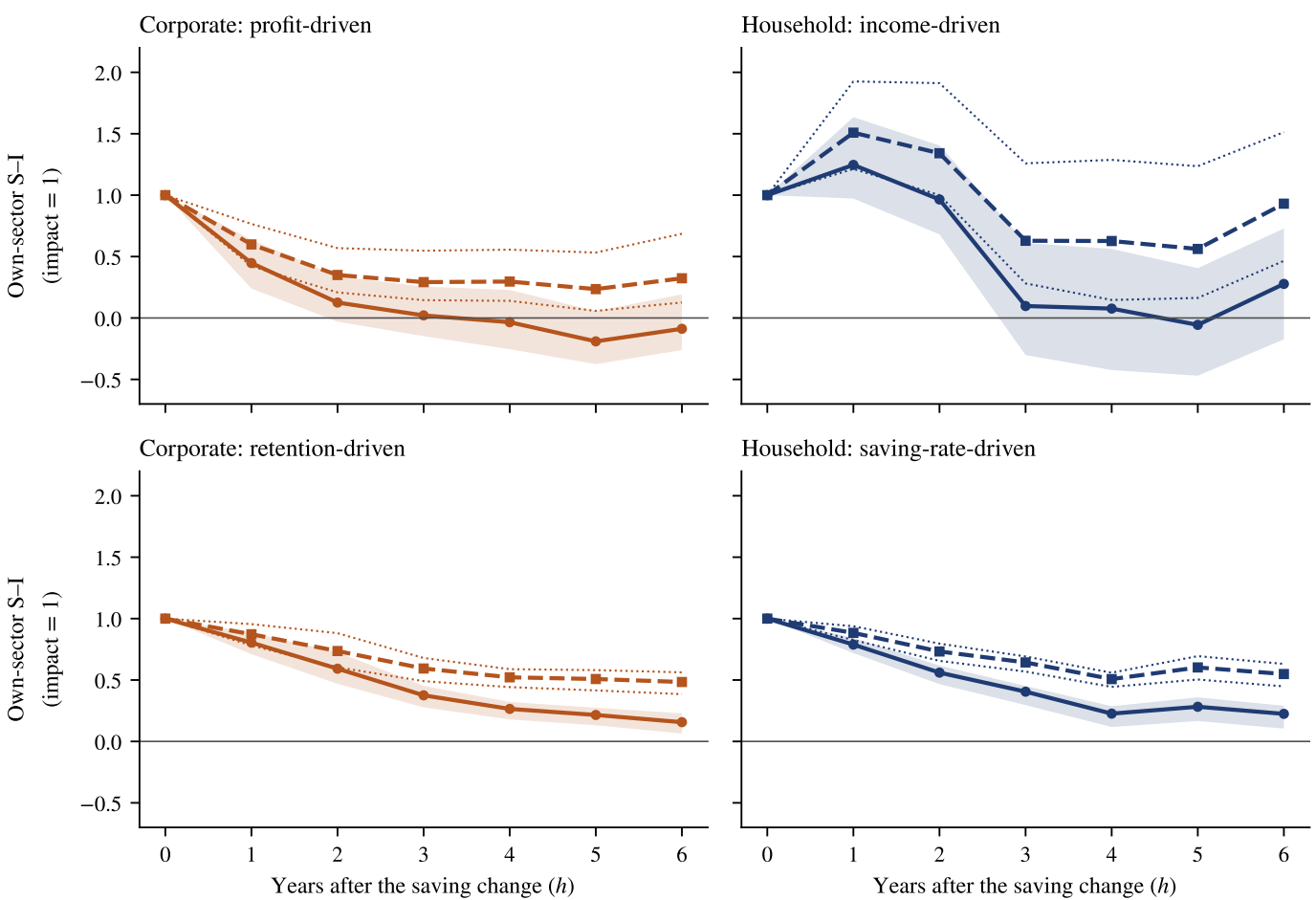
Persistence by source: own-sector balance controlled in levels or in changes



Notes: N = 871, 38 economies; same country-years at every horizon. Both specifications include the four components, two lags of the four components and GDP growth, and country and year fixed effects, and differ only in how two lags of the own-sector balance enter. Two-step weighted least squares with weights re-estimated for each specification. Shaded areas (levels) and dotted lines (changes) are 68 percent bands from a country-cluster bootstrap (499 replications).